This facility is used mostly by youngsters who fall short of money towards the end of the month to pay for products and services which they cannot do without. These are very short-term loans that bridge the financial shortfall until one receives their next pay.

There is another advantage of borrowing money; it leaves a credit trail which helps you manage your cash flows and, when needed, leverage your assets. But, taking too much debt can also harm your financial future.

If you are impatient and someone who can't wait to save and then realise a financial goal, a loan is a smart way to achieve your financial goal. A loan in general is not bad as long as you get something out of it financially or otherwise. However, be careful when servicing loans, because defaults and delays are expensive and could leave an unfavourable mark on your credit score impacting the possibility of borrowing when you may really need it.



FINANCIAL DECISIONS

Your lifestyle choices are a reflection of your values, priorities and aspirations. Whether you prioritise travel, education or philanthropy, the choices have financial implications. For instance, if you value experiences over material possessions, your spending and saving patterns will reflect that. A traditional financial plan might prioritise saving for a home or retirement. In contrast, a lifestyle-based plan would incorporate ways to fund your wishes while also securing your financial future. In the above example, you are more likely to live on rent than owning a house. You may also be less possessive of materialistic things and all such habits and behaviour have financial implications.

As life expectancy rises, so does the need for active engagement with your financial plans. Relying solely on savings or investments may not be enough. You will need to extend your working life to as long as possible and keep abreast with the changing financial landscape. It is not just financial instruments that you will need to know about, you should also learn about concepts that would help you form a guideline that you could use to stay on top of your financial life. Keep customising your investments to align with your unique financial goals and risk tolerance for long-term success.

One does fear the unknown when it comes to personal finance. The fear of losing money while investing or worrying over making a wrong financial choice or the fear of missing out on wealth creation opportunities makes many avoid taking any decision. Handling money is an emotional task and at Smart Money, we believe in empowering you to make informed financial decisions based on knowledge and understanding rather than succumbing to fear. And there are ways to manage it on your own or seek the help of those who do it for a fee.

Yes, there are several aspects around financial planning and plenty of financial products, financial jargon, rules and regulations that one needs to know. But the best way to reach your financial objectives is to work on a plan, which would give you a certain degree of discipline and allow you to utilise your income more optimally. Think of managing your finances as any other big moment in your life—cracking a competitive exam, planning a movie with friends or a family vacation and so on. Managing money smartly follows the same logic; you need a plan to start.

To see essential personal finance needs in a simple manner, you could read the financial advice given by Scott Adams, the creator of the Dilbert cartoon character. In fact, so profound is this less-than-a-page (see *Everything you need to know of personal investing*) advice that it addresses 95 per cent of an American's financial needs. If one were

DUE TO INFLATION, THE VALUE OF A CRORE OVER TIME WOULD DROP DRASTICALLY. IT SHOULD NOT SCARE YOU, BUT LET YOU REALISE WHAT YOU WILL FACE

EVERYTHING YOU NEED TO KNOW OF PERSONAL INVESTING

Published in Scott Adam's book *Dilbert And The Way Of The Weasel*, in the chapter on Financial Weasel

- Make a will
- Pay off your credit card balance
- Get term life insurance if you have a family to support
- Fund your company 401K* to the maximum
- Fund your IRA# to the maximum
- Buy a house if you want to live in a house and can afford it
- Put six months' expenses in a money market account
- Take whatever is left over and invest 70 per cent in a stock index fund and 30 per cent in a bond fund through any discount brokerage company and never touch it until retirement
- If any of this confuses you, or you have something special going on (retirement, college planning, tax issue), hire a fee-based financial planner, not one who charges you a percentage of your portfolio

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